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Limited Attention, Marital Events, and Hedge Funds

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1 Big picture

- **Question.** Does limited attention directly reduce the investment performance of professional money managers?
- **Empirical shock to attention.** The paper studies hedge fund managers around **marriages** and **divorces**. These are personal, time-consuming, and emotionally salient events that plausibly distract managers from investment decisions.
- **Setting.** The authors combine hedge fund data from Lipper TASS, Morningstar, HFR, and BarclayHedge with hand-collected public marriage and divorce records from 13 U.S. states.
- **Effective event sample.** After requiring hedge fund return data around the event, the main event-study sample contains **98 marriages** and **76 divorces** during 1994–2012.
- **Main design.** For each marital event, the paper compares performance in three event-time windows: a **before** period, a six-month **event** period, and an **after** period. The omitted benchmark in regressions is the before period.
- **Main outcome.** The key performance measure is monthly hedge fund alpha from the **Fung–Hsieh seven-factor model**, estimated with rolling 24-month factor loadings.
- **Baseline marriage result.** In the univariate event study, marriage lowers annualized alpha by about **5.10%** during the event window relative to before, and alpha remains about **3.16%** lower per year up to two years after marriage.
- **Baseline divorce result.** In the univariate event study, divorce lowers annualized alpha by about **7.79%** during the event window relative to before. Post-divorce alpha remains about **2.29%** lower per year than before divorce.
- **Controlled result.** In multivariate regressions with fund characteristics, marriage reduces annualized alpha by about **7.30%** during the event window and **3.42%** after the event. Divorce reduces annualized alpha by about **5.66%** during the event window and **3.29%** after the event.
- **Matched-sample result.** Relative to matched control funds with similar pre-event performance, event-fund alpha falls by about **10.03%** per year during marriage and **11.70%** per year during divorce.
- **Key heterogeneity.** The effect is strongest for low-bandwidth managers: those who manage multiple funds or who are not part of a team.
- **Mechanism.** Distracted managers place fewer active bets, hug styles and indexes more closely, have higher systematic-factor R^2 , lower Active Share, and become more prone to the disposition effect.
- **Economic takeaway.** Hedge fund performance is not only about information and incentives. Managerial attention itself is a scarce input into active management, and personal distractions can measurably damage alpha.

2 Data and measurement (marital events, hedge funds, and attention)

2.1 Why hedge funds are the right laboratory

- Hedge fund strategies are complex and dynamic. They may involve short sales, leverage, derivatives, and frequent portfolio adjustment.
- This makes hedge funds a natural setting for studying attention because performance may depend on managers continuously monitoring information and actively managing positions.
- The paper focuses on professional investors rather than retail investors, so the results speak directly to whether limited attention matters even for highly skilled and highly incentivized market participants.
- Hedge fund returns, assets under management, fees, lockups, redemption terms, and style classifications are available monthly, allowing the authors to track performance before, during, and after personal events.

Interpretation. If limited attention hurts performance even in hedge funds, then attention is an economically important input into professional portfolio management.

2.2 Hedge fund databases and sample construction

- The hedge fund data come from four commercial databases: **Lipper TASS**, **Morningstar**, **Hedge Fund Research**, and **BarclayHedge**.
- The data cover monthly net-of-fee returns and assets under management from January 1990 to December 2012.
- Because these databases started distributing data in 1994, the paper focuses on January 1994 onward to mitigate survivorship bias from funds that died before December 1993.
- The raw universe contains **31,542** hedge funds: **18,295** live funds and **13,247** dead funds.
- After excluding duplicate share classes, the sample contains **26,811** hedge funds: **15,550** live funds and **11,261** dead funds.
- When a fund appears in multiple databases, the authors keep one observation using a database priority rule: Lipper TASS, then Morningstar, then HFR, then BarclayHedge.

Interpretation. The multi-database construction matters because many funds appear in only one database. Using multiple sources reduces missing-fund problems relative to relying on one vendor.

2.3 Marital event data

- The authors hand collect hedge fund managers' marital records primarily from **LexisNexis court record searches**, supplemented by Internet searches.

- The search uses first name, middle initials, and last name. When multiple matches are possible, the authors use spouse names, management-firm location, and other public information to verify matches.
- Public marriage and divorce records are available for 13 states: Arizona, California, Colorado, Connecticut, Florida, Georgia, Kentucky, Nevada, North Carolina, Ohio, Pennsylvania, Texas, and Virginia.
- The search produces **857 marriages** and **251 divorces** for **786 hedge fund managers**.
- Many of these events occur before the hedge fund return sample begins, so the effective sample for the performance event study is smaller.

Interpretation. The key data innovation is linking private life events of hedge fund managers to fund-level performance. The public-record limitation means the marital-event sample covers only states where records are available.

2.4 Effective event-study sample

- To enter the event study, a manager must report hedge fund returns during the one-year period before and the one-year period after the marital event.
- This requirement is necessary for pre-event matching and for measuring performance changes around the event.
- After applying this requirement, the main effective event sample contains **98 marriages** and **76 divorces**.
- The authors note that the limited number of events biases against finding statistical significance.

Interpretation. The sample is small but sharply targeted. The test is whether the same managers and funds perform differently around specific personal events.

2.5 Event-time windows

The paper divides time around each event into three windows:

- **Before:** the 21-month period ending three months before the marital event.
- **Event:** the six-month period spanning three months before and three months after the marital event.
- **After:** the 21-month period starting three months after the marital event and ending two years after the event.

Interpretation. The event period is intentionally wider than the event month because wedding preparation, honeymoon, home purchase, childbirth, legal proceedings, custody disputes, and asset division can distract managers before and after the formal date.

2.6 Performance measures

- **Return:** monthly net-of-fee hedge fund return.
- **Alpha:** monthly Fung–Hsieh seven-factor alpha, with factor loadings estimated over the previous 24 months.
- **Flow:** monthly fund net inflow, in percentage terms.
- **Total risk:** standard deviation of raw monthly fund returns.
- **Idiosyncratic risk:** standard deviation of residuals from the Fung–Hsieh seven-factor model.

Interpretation. Return is the raw performance object. Alpha asks whether the performance loss remains after adjusting for standard hedge fund risk exposures.

2.7 Fund controls

The main regressions control for fund characteristics that the hedge fund literature has linked to performance:

- management fee;
- performance fee;
- high-water mark indicator;
- lock-up period;
- leverage indicator;
- fund age;
- redemption period;
- log fund size.

Interpretation. These controls address the possibility that marital-event funds simply have different incentives, liquidity restrictions, age, scale, or risk-taking features.

2.8 Investment-style classification

Following Agarwal, Daniel, and Naik, the paper groups funds into four broad styles:

- **Security Selection:** long-short positions in undervalued and overvalued securities, often equity-oriented.
- **Multi-process:** strategies based on events such as mergers, spin-offs, bankruptcies, recapitalizations, and buybacks.
- **Directional Trader:** bets on currencies, commodities, equities, and bonds in futures and cash markets.

- **Relative Value:** spread trades designed to minimize market exposure.

Interpretation. Style matters because the mechanism tests ask whether distracted managers move closer to the average behavior of their style peers.

2.9 Trading-behavior measures

The mechanism analysis studies four measures of active management:

- **DEVIATESTYLE:** the sum of absolute deviations in a fund's Fung–Hsieh factor loadings from its investment-style averages.
- **NONSPRATIO:** the fraction of new stock positions in a quarter that are not S&P 500 stocks.
- **NRSQUARED:** one minus the R^2 from regressing fund excess returns on the Fung–Hsieh factors.
- **ACTIVESHARE:** Active Share relative to the S&P 500, using the Cremers–Petajisto measure.

Interpretation. Higher values mean more active management. Lower values imply more style hugging, index hugging, factor hugging, or benchmark-like holdings.

2.10 Disposition-effect measures

The disposition-effect analysis uses Thomson Financial 13F holdings to construct:

- **PGR:** proportion of gains realized;
- **PLR:** proportion of losses realized;
- **PLR–PGR:** the paper's reported difference.

Interpretation. If PLR is below PGR, managers realize gains more readily than losses. This is the disposition effect: selling winners and holding losers.

3 Models and empirical specifications (all equations plus interpretation)

3.1 Limited-attention mechanism

The paper's economic mechanism can be written informally as

$$\begin{aligned} \text{Marital event}_{im} &\Rightarrow \text{lower manager attention}_{im} \\ &\Rightarrow \text{less active trading and weaker discipline}_{im} \Rightarrow \text{lower alpha}_{im}. \end{aligned} \tag{1}$$

Interpretation. The empirical goal is not simply to show that marital events coincide with poor returns. The paper also tests whether the channels look like reduced attention: lower active

management and more behavioral mistakes.

3.2 Fung–Hsieh seven-factor alpha

For fund i in month m , the paper models excess returns with the Fung–Hsieh hedge fund factors:

$$R_{im} - R_{fm} = \alpha_i + \beta_{1i} \text{SNPMRF}_m + \beta_{2i} \text{SCMLC}_m + \beta_{3i} \text{BD10RET}_m \quad (2)$$

$$+ \beta_{4i} \text{BAAMTSY}_m + \beta_{5i} \text{PTFSFX}_m + \beta_{6i} \text{PTFSCOM}_m + \beta_{7i} \text{PTFSBD}_m + \varepsilon_{im}. \quad (3)$$

The seven factors are:

- S&P 500 excess return;
- small-minus-big equity factor;
- ten-year Treasury bond return factor;
- credit-spread factor;
- trend-following factor for currencies;
- trend-following factor for commodities;
- trend-following factor for bonds.

Interpretation. Alpha is the part of fund return not explained by standard hedge fund risk exposures. The authors estimate loadings over rolling 24-month windows.

3.3 Baseline event-study comparison

Let Y_{im} denote return, alpha, flow, total risk, or idiosyncratic risk. The univariate event-study comparison is:

$$\Delta^{\text{event-before}} Y_i = \bar{Y}_{i,\text{event}} - \bar{Y}_{i,\text{before}}, \quad (4)$$

$$\Delta^{\text{after-before}} Y_i = \bar{Y}_{i,\text{after}} - \bar{Y}_{i,\text{before}}. \quad (5)$$

Interpretation. This compares the same event fund before, during, and after the manager’s marriage or divorce.

3.4 Main multivariate regression

The core regression is estimated separately for marriage and divorce events:

$$\text{ALPHA}_{im} = \alpha + \beta_1 \text{EVENT}_{im} + \beta_2 \text{AFTER}_{im} + \beta_3 \text{MGTFEE}_i + \beta_4 \text{PERFFEE}_i \quad (6)$$

$$+ \beta_5 \text{HWM}_i + \beta_6 \text{LOCKUP}_i + \beta_7 \text{LEVERAGE}_i + \beta_8 \text{AGE}_{i,m-1} \quad (7)$$

$$+ \beta_9 \text{REDEMPTION}_i + \beta_{10} \log(\text{FUNDSIZE}_{i,m-1}) + \varepsilon_{im}. \quad (8)$$

The before period is omitted, so β_1 measures event-window performance relative to before, and β_2 measures after-window performance relative to before.

Interpretation. The coefficient on **EVENT** is the short-run distraction effect. The coefficient on **AFTER** asks whether the performance loss persists after the formal event window.

3.5 Matched difference-in-differences design

To account for time trends in hedge fund performance, the authors match each event fund to a non-event fund with similar pre-event performance. They estimate:

$$\text{ALPHA}_{im} = \alpha + \beta_1 \text{EVENT}_{im} + \beta_2 \text{AFTER}_{im} + \beta_3 (\text{TREATMENT}_i \times \text{BEFORE}_{im}) \quad (9)$$

$$+ \beta_4 (\text{TREATMENT}_i \times \text{EVENT}_{im}) + \beta_5 (\text{TREATMENT}_i \times \text{AFTER}_{im}) \quad (10)$$

$$+ \Gamma' X_{im} + \varepsilon_{im}. \quad (11)$$

Here X_{im} contains the same fund characteristics as in the baseline regression.

Interpretation. The interaction terms compare event funds to matched control funds in the same event-time windows. This helps separate marital-event effects from general time trends in hedge fund alpha.

3.6 Manager bandwidth tests

The bandwidth tests estimate the main regression within subsamples:

- managers running one fund versus managers running two or more funds;
- single-manager funds versus team-managed funds.

Interpretation. If the results are caused by limited attention, the event effect should be larger when the manager has less spare attention or less team support. This is exactly what the paper finds.

3.7 Trading-behavior mechanism tests

For each trading-behavior metric A_{im} , the paper compares before, event, and after values:

$$A_{im} \in \{\text{DEVIATESTYLE}, \text{NONSPRATIO}, \text{NRSQUARED}, \text{ACTIVESHARE}\}. \quad (12)$$

All four metrics are constructed so that higher values mean more active management.

Interpretation. The mechanism prediction is that A falls during or after marital events. Lower A means less active investment behavior and more passive or benchmark-like positioning.

3.8 Disposition-effect test

Following Odean, define

$$\text{PGR} = \frac{\text{realized gains}}{\text{realized gains} + \text{paper gains}}, \quad \text{PLR} = \frac{\text{realized losses}}{\text{realized losses} + \text{paper losses}}. \quad (13)$$

The test statistic uses the standard error

$$\sqrt{\frac{\text{PGR}(1 - \text{PGR})}{n_{rg} + n_{pg}} + \frac{\text{PLR}(1 - \text{PLR})}{n_{rl} + n_{pl}}}, \quad (14)$$

where n_{rg} , n_{pg} , n_{rl} , and n_{pl} are counts of realized gains, paper gains, realized losses, and paper losses.

Interpretation. If managers are more prone to the disposition effect, then PGR exceeds PLR: they sell winners more readily than losers.

3.9 Reverse-causality logit

To test whether fund performance predicts marriage or divorce, the authors estimate logistic regressions of the form

$$\Pr(\text{MARRIAGE}_{im} = 1) = \Lambda(\alpha + \beta_1 \text{ALPHA}_{i,m-1:m-12} + \beta_2 \text{FLOW}_{i,m-1:m-12} \quad (15)$$

$$+ \beta_3 \text{ALPHA}_{i,m-13:m-24} + \beta_4 \text{FLOW}_{i,m-13:m-24} + \Gamma' X_{im}), \quad (16)$$

with an analogous equation for divorce. They also replace alpha with raw return.

Interpretation. If past fund performance strongly predicted marriages or divorces, then the event-study results could reflect endogenous timing. The paper finds little evidence that recent return or alpha predicts marital events.

4 Identification and empirical design (what makes the estimates credible)

4.1 What identifies the main effect

- The core identifying variation is **within-manager, event-time variation**: the same manager is compared before, during, and after a personal event.
- The paper's maintained interpretation is that marriage and divorce absorb attention and reduce investment focus.
- The most persuasive evidence is not any single regression. It is the joint pattern: lower alpha, larger effects for low-bandwidth managers, lower active management, and stronger disposition effect.

Interpretation. The design is strongest when performance changes line up with observable changes in behavior that look like inattention.

4.2 Why marital events are useful attention shocks

- Marriages involve planning, family coordination, financial decisions, home purchase, honeymoon, and sometimes childbirth.
- Divorces involve legal proceedings, negotiation over assets, possible custody disputes, and emotional stress.
- These activities are personal and difficult to delegate fully.
- They plausibly reduce attention even for professional investors with strong incentives.

Interpretation. The events are not random, but they are plausibly distracting. The paper therefore combines event timing with multiple validity checks.

4.3 Addressing hedge fund performance trends

- Hedge fund alpha may decline over time for reasons unrelated to marital events.
- To address this, the paper matches event funds to non-event funds based on pre-event performance.
- The matched difference-in-differences design shows that event funds underperform their matched controls during and after marital events.

Interpretation. This reduces the concern that the results simply reflect secular deterioration in hedge fund performance.

4.4 Addressing fund-level confounds

- The multivariate regressions control for fees, high-water marks, lockups, leverage, age, redemption restrictions, and fund size.
- These controls address standard explanations of hedge fund performance differences.
- Standard errors are clustered by fund to account for serial correlation and fund-level dependence.

Interpretation. The performance decline is not mechanically explained by observable fund design or fund scale.

4.5 Addressing reverse causality

- One concern is that good performance may lead to marriage and poor performance may lead to divorce.

- Another concern is that spouses or managers may anticipate future performance and time marital decisions strategically.
- The paper estimates logit models in which past one-year and two-year fund performance predict marriage and divorce.
- Most return and alpha coefficients are statistically insignificant.

Interpretation. The reverse-causality tests do not eliminate all endogeneity, but they make it less likely that the main results are driven by simple performance-based timing of marital events.

4.6 Why the bandwidth results matter

- If marital events merely proxy for unobserved fund quality, it is not obvious why the effect should be much stronger for managers running multiple funds or managers without a team.
- Under the limited-attention interpretation, this heterogeneity is natural: busy managers have less slack attention, and solo managers have less ability to delegate.
- The paper finds exactly this pattern.

Interpretation. Bandwidth heterogeneity is one of the strongest credibility checks because it directly tests a prediction of the attention mechanism.

4.7 Why the trading-behavior results matter

- Marital events are associated with lower DEVIATESTYLE, lower NONSPRATIO, lower NRSQUARED, and lower ACTIVESHARE.
- This means managers become more style-hugging, index-hugging, factor-hugging, and benchmark-like.
- The paper also reports that these reductions are associated with lower alpha.

Interpretation. The behavior results help open the black box. They show how attention loss changes investment decisions, not just final returns.

4.8 Why the disposition-effect results matter

- During marriage and divorce windows, managers become more likely to realize gains than losses.
- This is a classic behavioral trading error.
- The effect is especially persistent around divorce.

Interpretation. Reduced attention does not only lead to passivity. It also weakens trading discipline and makes managers more vulnerable to behavioral bias.

4.9 What the paper cannot fully prove

- Marriages and divorces are not randomized events.
- There may be feedback between personal life and professional performance.
- The paper cannot perfectly separate emotional stress, time distraction, household financial issues, and reduced cognitive focus.
- The event data cover only states with public marital records.

Interpretation. The causal interpretation is persuasive because many pieces fit the limited-attention story, but the design is not a randomized experiment.

5 Tables and figures

5.1 Table 1: Distribution of marital events

Read:

- The full marital-record search finds **857 marriages** and **251 divorces**, for **1,108** total marital events.
- The divorce-to-marriage ratio is **0.31** in the marital-record sample.
- California, Connecticut, Florida, and Texas account for a large share of events.
- California has 215 marriages and 80 divorces; Connecticut has 216 marriages and 41 divorces; Florida has 144 marriages and 68 divorces; Texas has 139 marriages and 30 divorces.

Economic message. The paper's key data contribution is the hand collection of marital records. The state limitation is important, but the event sample still provides enough variation for a targeted hedge fund event study.

Table 1

Distribution of marital events for hedge fund managers.

This table reports the distribution of marital events for hedge fund managers, i.e., marriages and divorces, by state. Divorce rate is the ratio of the number of divorces to the number of marriages within each state. The sample consists of hand-collected hedge fund manager marital records primarily from Lexis-Nexis court record searches. Marriage and divorce records are publicly available for 13 states in the United States. These states include Arizona, California, Colorado, Connecticut, Florida, Georgia, Kentucky, Nevada, North Carolina, Ohio, Pennsylvania, Texas, and Virginia. The other states do not disclose marriage and divorce data publicly. The sample period is from January 1994 to December 2012.

State	Marriage		Divorce		Total		Divorce rate
	Number	Percentage	Number	Percentage	Number	Percentage	
Arizona	0	0.00	2	0.80	2	0.18	n/a
California	215	25.09	80	31.87	295	26.62	0.37
Colorado	38	4.43	0	0.00	38	3.43	0.00
Connecticut	216	25.20	41	16.33	257	23.19	0.19
Florida	144	16.80	68	27.09	212	19.13	0.47
Georgia	33	3.85	9	3.59	42	3.79	0.27
Kentucky	3	0.35	0	0.00	3	0.27	0.00
Nevada	10	1.17	2	0.80	12	1.08	0.20
North Carolina	22	2.57	9	3.59	31	2.80	0.41
Ohio	16	1.87	2	0.80	18	1.62	0.13
Pennsylvania	5	0.58	0	0.00	5	0.45	0.00
Texas	139	16.22	30	11.95	169	15.25	0.22
Virginia	16	1.87	8	3.19	24	2.17	0.50
Total	857	100	251	100	1,108	100	0.31

Table 2

Summary statistics.

This table reports hedge fund characteristics grouped by the marital status of the fund manager. No marriage funds are those whose managers have no marital records within the 13 states for the sample period. Single marriage funds are those for whom we find only one marriage record for the fund manager. Single divorce funds are those for whom we find one marriage record and one divorce record for the fund manager. Multiple marriages funds are those for whom we find more than one marriage record and one divorce record for the fund manager. Management fee and performance fee are both in percentage. High-water mark is a dummy variable which takes a value of one if the hedge fund uses high-water mark and zero otherwise. Lock-up period is in days, conditional on nonzero records. Redemption period is in months. Leveraged is a dummy variable which takes a value of one if the hedge fund uses leverage and zero otherwise. Alpha is Fung and Hsieh (2004) seven-factor monthly alpha where factor loadings are estimated over the last 24 months. Total risk is the standard deviation of raw monthly returns, while idiosyncratic risk is the standard deviation of the monthly residuals from the seven-factor alpha regressions. Risk is estimated over the entire sample period. The sample period is from January 1994 to December 2012. * Significant at the 5% level; ** Significant at the 1% level.

Variable	No marriage (1)	Single marriage (2)	Single divorce (3)	Multiple marriages (4)	(1)-(2)	(1)-(3)	(1)-(4)
Number of funds	4,522	635	279	117			
Percentage of funds	81.43	11.44	5.02	2.11			
Management fee (%)	1.422	1.428	1.384	1.392	-0.006	0.038	0.029
Performance fee (%)	16.670	16.590	17.298	16.263	0.080	-0.628	0.407
High-water mark (dummy)	0.752	0.751	0.792	0.697	0.001	-0.040	0.055
Fraction of funds with lock-ups	0.352	0.443	0.470	0.402	-0.090**	-0.117**	-0.050
Lock-up period (days)	112.2	153.0	87.650	216.700	-40.8**	24.600	-104.5**
Redemption period (months)	2.359	2.552	2.336	2.082	-0.194	0.023	0.277
Leveraged (dummy)	0.601	0.606	0.667	0.778	-0.005	-0.066	-0.177**
Assets under management (US\$m)	130.855	96.479	121.377	131.884	33.976	9.478	-1.028
Returns (%)	0.758	0.779	0.702	0.772	-0.021	0.056	-0.013
Alpha (%)	0.504	0.532	0.497	0.548	-0.027	0.007	-0.044
Flow (%)	1.785	2.492	1.620	1.355	-0.707**	0.165	0.430
Total risk (%)	3.705	3.689	3.454	3.395	0.016	0.251	0.310
Idiosyncratic risk (%)	2.487	2.460	2.218	2.204	0.027	0.269	0.283

5.2 Table 2: Summary statistics by marital status

Read:

- The marital-status groups are no marriage, single marriage, single divorce, and multiple marriages.
- The table includes **4,522** no-marriage funds, **635** single-marriage funds, **279** single-divorce funds, and **117** multiple-marriage funds.
- There are no strong unconditional differences in average returns or alphas across groups.
- Single managers tend to have shorter lockups and higher flows than managers with multiple marriages.
- Single managers also show somewhat higher risk, consistent with the idea that unmarried men may take more risk, but the cross-sectional risk evidence is not decisive.

Economic message. Cross-sectional marital status alone is not the main evidence. The clean test is the event study around actual marriages and divorces.

5.3 Table 3: Univariate event-study evidence

Read:

- For marriages, monthly alpha falls from **1.023%** before the event to **0.598%** during the event. The monthly difference is **-0.425%**, or about **-5.10%** annualized.
- For marriages, after-period alpha is **0.760%**, which is **-0.263%** per month relative to before, or about **-3.16%** annualized.
- For divorces, monthly alpha falls from **0.750%** before the event to **0.101%** during the event. The monthly difference is **-0.649%**, or about **-7.79%** annualized.
- For divorces, after-period alpha is **0.559%**, which is **-0.191%** per month relative to before, or about **-2.29%** annualized.
- Fund flows tend to peak during marital events and decline after the event.
- Risk tends to fall after marriage, especially idiosyncratic risk.

Economic message. Both marriages and divorces coincide with economically large declines in risk-adjusted performance. This is the first direct evidence that the personal event windows matter.

5.4 Table 4: Multivariate regressions on performance and risk

Read:

- The dependent variables are monthly return, monthly alpha, and total risk.
- For marriage, the alpha coefficient on **EVENT** is **-0.608%** per month and significant; annualized, this is about **-7.30%**.

Table 3
Univariate analysis of hedge fund manager marital events.
This table reports univariate analysis of hedge fund performance and risk around marital events. Fund performance metrics analyzed include raw monthly returns and Fung and Hsieh (2004) seven-factor monthly alphas where factor loadings are estimated over the last 24 months. Flow is monthly fund net inflow in percentage. Total risk is the standard deviation of raw returns while the idiosyncratic risk is the residual from the factor regressions. Risk is estimated over each non-overlapping period: "before," "event," and "after." The "event" period is the six-month period spanning three months before and three months after the marriage/divorce event. The period "before" is the 21-month period before the event period and the period "after" is the 21-month period after the event period. Panel A reports results for marriage, while Panel B reports results for divorce. The sample period is from January 1994 to December 2012. * Significant at the 5% level; ** Significant at the 1% level.

	Before	Event	After	Event-Before	After-Event	After-Before
Panel A: Marriage						
Return	0.984	0.723	0.979	-0.261	0.256	-0.005
Alpha	1.023	0.598	0.760	-0.425**	0.162	-0.263**
Flow	2.138	2.628	0.846	0.490	-1.782*	-1.292*
Total risk	3.537	3.198	3.149	-0.339	-0.049	-0.388
Idiosyncratic risk	2.799	2.522	2.264	-0.277	-0.258	-0.335**
Panel B: Divorce						
Return	0.878	0.517	0.803	-0.361	0.286	-0.075
Alpha	0.750	0.101	0.559	-0.649**	0.458**	-0.191
Flow	0.670	1.205	0.792	0.535*	-0.413*	0.122
Total risk	2.690	2.845	2.823	-0.145	-0.022	-0.167
Idiosyncratic risk	1.838	1.604	1.647	-0.234	0.043	-0.191

Table 4
Regressions on hedge fund performance and risk.
This table reports multivariate regression analysis of fund performance and risk. Dependent variables are RETURN, ALPHA, and RISK. ALPHA is Fung and Hsieh (2004) seven-factor monthly alpha for hedge funds where factor loadings are estimated over the last 24 months. RISK is standard deviation of monthly hedge fund returns estimated over each non-overlapping period associated with EVENT, and AFTER. The independent variables include three indicator variables which represent different periods. EVENT takes a value of one during the six-month period spanning three months before and three months after the marriage/divorce event. BEFORE (omitted) takes a value of one during the 21-month period before the event period. AFTER takes a value of one during the 21-month period after the event period. The other independent variables include fund characteristics such as management fee (MGTFEE), performance fee (PERFEE), high-water mark indicator (HWM), lock-up period in years (LOCKUP), redemption period in months (REDEMPTION), leverage indicator (LEVERAGE), fund age in years (AGE), and log of fund size (log(FUNDSIZE)). In the risk regression, we estimate AGE and FUNDSIZE as the average age and size of the fund, respectively, in each non-overlapping period. The t-statistics, derived from standard errors clustered by fund, are in parentheses. The sample period is from January 1994 to December 2012. * Significant at the 5% level; ** Significant at the 1% level.

Independent variables	Dependent variable			Dependent variable		
	Marriage			Divorce		
	RETURN	ALPHA	RISK	RETURN	ALPHA	RISK
EVENT	-0.453*	-0.608**	0.042	-0.072	-0.472*	0.016
	(-2.11)	(-3.02)	(0.11)	(-0.37)	(-2.14)	(0.05)
AFTER	-0.218	-0.285*	-0.155	0.076	-0.274*	-0.231
	(-1.43)	(-2.14)	(-0.58)	(0.54)	(-2.44)	(-1.00)
MGTFEE	-0.032	0.178*	1.191**	-0.273*	0.120	0.364*
	(-0.31)	(2.06)	(6.62)	(-2.45)	(1.33)	(2.10)
PERFEE	0.020	0.003	-0.010	0.002	0.008	0.046**
	(1.77)	(0.30)	(-0.48)	(0.30)	(1.16)	(3.54)
HWM	0.222	0.145	-0.725	-0.352*	-0.073	-2.243**
	(0.97)	(0.70)	(-1.92)	(-1.99)	(-0.51)	(-7.90)
LOCKUP	-0.030	-0.034	-0.764	-5.910**	-0.937	20.368**
	(-0.13)	(-0.17)	(-1.83)	(-3.56)	(-0.69)	(7.39)
LEVERAGE	-0.271	-0.431**	-0.360	-0.016	-0.058	1.295**
	(-1.73)	(-2.91)	(-1.32)	(-0.10)	(-0.44)	(4.99)
AGE	-0.045*	-0.073**	0.001	0.001	-0.042**	0.055*
	(-2.21)	(-3.51)	(0.04)	(0.04)	(-4.02)	(2.42)
REDEMPTION	-0.033	-0.039	-0.073	-0.006	0.010	-0.192**
	(-1.08)	(-1.46)	(-1.34)	(-0.20)	(0.42)	(-4.06)
log(FUNDSIZE)	0.046	0.131**	-0.353**	0.007	0.000	-0.062
	(1.03)	(3.22)	(-4.39)	(0.21)	(0.01)	(-1.15)
R-squared	0.009	0.024	0.008	0.224	0.008	0.017
N	3,361	2,286	513	3,011	1,859	495

- For marriage, the alpha coefficient on AFTER is **-0.285%** per month; annualized, this is about **-3.42%**.
- For divorce, the alpha coefficient on EVENT is **-0.472%** per month; annualized, this is about **-5.66%**.
- For divorce, the alpha coefficient on AFTER is **-0.274%** per month; annualized, this is about **-3.29%**.
- These results survive controls for fees, high-water mark, lockup, leverage, fund age, redemption period, and fund size.

Economic message. The deterioration in alpha is not just a raw difference. It remains after conditioning on standard hedge fund characteristics.

5.5 Table 5: Matched-sample regressions

Read:

- Each marital-event fund is matched to a non-event fund based on pre-event performance.
- For marriage, treatment-event alpha is **-0.836%** per month, or about **-10.03%** annualized.
- For marriage, treatment-after alpha is **-0.327%** per month, or about **-3.92%** annualized.
- For divorce, treatment-event alpha is **-0.975%** per month, or about **-11.70%** annualized.
- For divorce, treatment-after alpha is **-0.648%** per month, or about **-7.78%** annualized.

Economic message. Even relative to comparable non-event funds, marital-event funds underperform. This addresses concerns about economy-wide or industry-wide time trends.

5.6 Table 6: Manager bandwidth

Read:

Table 5

Regressions on fund performance and risk with matched sample.

This table reports multivariate regression analysis of fund performance with a matched sample. Dependent variables are raw monthly return (RETURN) and the Fung and Hsieh (2004) seven-factor monthly alpha (ALPHA). The independent variables include interactions of the treatment dummy (TREATMENT) with three indicator variables which represent different periods. EVENT takes a value of one during the six-month period spanning three months before and three months after the marriage/divorce event. BEFORE takes a value of one during the 21-month period before the event period. AFTER takes a value of one during the 21-month period after the event period. TREATMENT takes a value of one if the fund manager gets married or divorced in that month, and takes a value of zero if the fund is in the control group. Each fund in the treatment group is matched with a fund in the control group. The matched fund is chosen to minimize the absolute difference in performance during the "before" period. The other independent variables include EVENT and AFTER as well as fund characteristics such as management fee (MGTFEE), performance fee (PERFEE), high-water mark indicator (HWM), lock-up period in years (LOCKUP), redemption period in months (REDEMPTION), leverage indicator (LEVERAGE), fund age in years (AGE), and the log of fund size (Log(FUNDSIZE)). The t-statistics, derived from standard errors clustered by fund, are in parentheses. The sample period is from January 1994 to December 2012. * Significant at the 5% level; ** Significant at the 1% level.

Independent variables	Dependent variable			
	Marriage		Divorce	
	RETURN	ALPHA	RETURN	ALPHA
TREATMENT*BEFORE	-1.233 (-1.62)	-0.222 (-1.23)	-0.014 (-0.06)	-0.350 (-1.44)
TREATMENT*EVENT	-1.397** (-2.81)	-0.836** (-2.40)	-0.789** (-2.01)	-0.975** (-2.32)
TREATMENT*AFTER	-1.160** (-3.43)	-0.322** (-2.12)	-0.143 (-0.78)	-0.648* (-2.04)
EVENT	-0.963 (-1.85)	-1.120* (-3.35)	-0.761 (-1.96)	-0.055 (-0.17)
AFTER	-1.062 (-1.82)	-0.566** (-3.74)	0.048 (0.30)	-0.613** (-2.81)
MGTFEE	0.11 (0.54)	0.306** (6.49)	0.210 (1.09)	0.059 (0.39)
PERFEE	0.011 (0.60)	0.004 (0.45)	0.012 (1.27)	0.017* (2.52)
HWM	-0.019 (-0.05)	0.226 (1.15)	-0.136 (-0.69)	-0.133 (-0.69)
LOCKUP	0.817 (1.64)	0.883 (0.92)	0.516 (0.59)	-0.315 (-0.97)
LEVERAGE	-0.020 (-0.39)	-0.018 (-1.24)	-0.034 (-1.56)	-0.003 (-0.12)
AGE	0.166* (2.35)	0.109** (2.86)	0.104 (1.46)	-0.011 (-0.12)
REDEMPTION	-0.252 (-1.32)	-0.160 (-1.28)	0.304 (1.89)	0.15 (0.71)
Log(FUNDSIZE)	-0.045* (-2.50)	-0.039** (-3.02)	-0.008 (-0.44)	-0.028* (-2.31)
R-squared	0.021	0.040	0.016	0.038
N	5,052	3,600	5,413	3,171

Table 6

Regressions on performance for fund managers sorted by manager bandwidth.

This table reports multivariate regression analysis of fund performance and risk. Dependent variables are raw monthly return and monthly alpha. Alpha is Fung and Hsieh (2004) seven-factor alpha for hedge funds. The independent variables include three indicator variables which represent different periods. EVENT takes a value of one during the six-month period spanning three months before and three months after the marriage/divorce event. BEFORE (omitted) takes a value of one during the 21-month period before the event period. AFTER takes a value of one during the 21-month period after the event period. The other independent variables include fund characteristics such as management fee, performance fee, high-water mark indicator, lock-up period, redemption period, leverage indicator, fund age, and fund size. Coefficient estimates on these control variables are omitted for brevity. The t-statistics, derived from standard errors clustered by fund, are in parentheses. The sample period is from January 1994 to December 2012. * Significant at the 5% level; ** Significant at the 1% level.

Independent variables	Managers sorted by number of funds managed			
	One fund		Funds sorted by number of managers	
	One fund	Two or more funds	Single manager	Team managed
Panel A: Event = Marriage; Dependent variable = Return				
EVENT	-0.222 (-0.62)	-0.814** (-4.58)	-0.945** (-5.41)	-0.227 (-0.91)
AFTER	-0.517 (1.55)	-0.600** (-6.10)	-0.584** (-4.26)	-0.245 (-1.41)
N	1,125	2,236	1,496	1,865
Panel B: Event = Marriage; Dependent variable = Alpha				
EVENT	-0.383 (-1.54)	-1.278** (-4.36)	-0.786** (-3.31)	-0.307 (-1.09)
AFTER	-0.159 (-0.63)	-0.618** (-5.65)	-0.553** (-3.41)	-0.129 (-0.68)
N	841	1,445	1,131	1,155
Panel C: Event = Divorce; Dependent variable = Return				
EVENT	0.303 (-0.43)	-1.278** (-4.36)	-0.940* (-2.32)	-0.313 (-1.80)
AFTER	0.110 (-0.38)	-0.61** (-5.65)	-0.537** (-3.23)	-0.153 (-1.22)
N	1,130	1,881	903	2,108
Panel D: Event = Divorce; Dependent variable = Alpha				
EVENT	0.345 (-0.81)	-0.907** (-4.47)	-0.767** (-3.02)	-0.237 (-0.72)
AFTER	-0.418 (-1.58)	-0.375** (-2.83)	-0.341** (-2.32)	-0.314 (-1.54)
N	847	1,012	893	966

- The paper splits managers by whether they manage one fund or two or more funds.
- It also splits funds by whether they are single-manager or team-managed.
- For marriage, managers running two or more funds experience an alpha decline of **-1.278%** per month in the event window, while managers running one fund have an insignificant **-0.383%** coefficient.
- For divorce, managers running two or more funds experience an alpha decline of **-0.907%** per month in the event window, while one-fund managers have an insignificant positive coefficient.
- Single-manager funds are hurt more than team-managed funds.

Economic message. The event effect is concentrated among managers with lower attention bandwidth. This strongly supports the limited-attention interpretation.

5.7 Table 7: Style, index, and factor exposure

Read:

- For marriage, DEVIATESTYLE falls from **19.541** before to **13.896** after; the after-before difference is **-5.645**.
- For divorce, DEVIATESTYLE falls from **16.194** before to **10.064** after; the after-before difference is **-6.131**.
- For marriage, NRSQUARED falls from **0.812** before to **0.690** after.
- For divorce, NRSQUARED falls from **0.704** before to **0.602** after.
- For marriage and divorce, ACTIVESHARE falls after the event.
- Matched difference-in-differences versions show similar declines, so the behavior changes are not just industry-wide trends.

Economic message. Distracted managers become less active. They move closer to styles, indexes, and systematic factors, which helps explain why alpha falls.

Table 7

Style, index, and factor exposure analysis.

This table reports analysis of hedge fund style, index, and factor exposure around marital events. The metrics analyzed include DEVIAT-ESTYLE, NONSPRATIO, NRSQUARED, and ACTIVESHARE. DEVIAT-ESTYLE measures style exposure and is the sum of the absolute deviations in fund Fung and Hsieh (2004) seven-factor betas relative to that of fund's investment style. NONSPRATIO is the ratio of the number of non-S&P 500 index stocks added to a fund's portfolio relative to the total number of new positions in a quarter. NRSQUARED is one minus the R-squared from the regression of fund excess returns on the Fung and Hsieh (2004) seven factors. ACTIVESHARE is Cremers and Perajito (2009) Active Share measured against the S&P 500. The event period is the six-month period spanning three months before and three months after the marriage/divorce event. The "before" period is the period 21 months before the event period and the "after" period is the period 21 months after the event period. Panels A and C report results for marriage while Panels B and D report results for divorce. In Panels C and D we conduct a difference-in-differences analysis after matching funds based on the relevant trading behavior metric. The sample period is from January 1994 to December 2012. *Significant at the 5% level; **Significant at the 1% level.

Variable	Before	Event	After	Event-Before	After-Event	After-Before
<i>Panel A: Marriage</i>						
DEVIAT-ESTYLE	19.541	14.827	13.896	-4.714**	-0.931	-5.645**
NONSPRATIO	0.648	0.645	0.608	-0.003	-0.037*	-0.040*
NRSQUARED	0.812	0.787	0.690	-0.030	-0.100**	-0.120**
ACTIVESHARE	0.526	0.514	0.502	-0.012	-0.012	-0.024*
<i>Panel B: Divorce</i>						
DEVIAT-ESTYLE	16.194	12.753	10.064	-3.441**	-2.689**	-6.131**
NONSPRATIO	0.646	0.642	0.611	-0.004	-0.031	-0.035
NRSQUARED	0.704	0.643	0.602	-0.061*	-0.041	-0.102**
ACTIVESHARE	0.548	0.527	0.527	-0.021**	0.000	-0.021**
<i>Panel C: Marriage (difference-in-differences with matched sample)</i>						
DEVIAT-ESTYLE	0.808	-4.668	-4.788	-5.476**	-0.120	-5.596**
NONSPRATIO	0.000	-0.001	-0.024	-0.001	-0.023*	-0.024*
NRSQUARED	0.047	-0.088	-0.145	-0.135**	-0.057	-0.192**
ACTIVESHARE	-0.001	-0.011	-0.024	-0.010	-0.013	-0.023*
<i>Panel D: Divorce (difference-in-differences with matched sample)</i>						
DEVIAT-ESTYLE	1.628	-4.965	-5.830	-6.593**	-0.865	-7.458**
NONSPRATIO	0.000	0.003	-0.023	0.003	-0.026	-0.023
NRSQUARED	0.020	-0.026	-0.035	-0.046*	-0.009	-0.055*
ACTIVESHARE	0.001	-0.014	-0.011	-0.015*	0.003	-0.012*

Table 8

The disposition effect around marital events.

This table compares the aggregate Proportion of Gains Realized (PGR) to the aggregate Proportion of Losses Realized (PLR), where PGR is the number of realized gains divided by the number of realized gains plus the number of paper (unrealized) gains, and PLR is the number of realized losses divided by the number of realized losses plus the number of paper (unrealized) losses. Realized gains, paper gains, realized losses, and paper losses are aggregated over time for each period (i.e., before, event, and after) and over all funds. The t-statistics test the null hypothesis that the differences in proportions are equal to zero assuming all realized gains, paper gains, realized losses, and paper losses result from independent decisions. PGR and PLR are derived using stock holdings information from the Thomson Financial 13-F holdings database for the hedge fund managers in our sample. The sample period is from January 1994 to December 2012. * Significant at the 5% level; ** Significant at the 1% level.

	Before	Event	After
<i>Panel A: Marriage</i>			
PLR	0.474	0.452	0.432
PGR	0.443	0.511	0.437
PLR-PGR	0.031**	-0.059**	-0.005
Standard error	0.006	0.008	0.005
t-statistic	5.053	-7.171	-1.051
<i>Panel B: Divorce</i>			
PLR	0.315	0.370	0.379
PGR	0.338	0.415	0.425
PLR-PGR	-0.023**	-0.045**	-0.046**
Standard error	0.008	0.011	0.006
t-statistic	-2.900	-4.094	-7.636

5.8 Table 8: Disposition effect

Read:

- Before marriage, PLR exceeds PGR: PLR is **0.474** and PGR is **0.443**. This does not indicate a disposition effect.
- During marriage, PLR is **0.452** and PGR is **0.511**; PLR-PGR is **-0.059** and highly significant.
- Before divorce, PLR is **0.315** and PGR is **0.338**; during divorce, PLR is **0.370** and PGR is **0.415**; after divorce, PLR is **0.379** and PGR is **0.425**.
- The disposition effect is present before, during, and after divorce, and becomes stronger around the divorce window.

Economic message. Limited attention reduces trading discipline. Managers become more likely to sell winners and hold losers, which is a costly behavioral bias.

5.9 Table 9: Probability of marriage and divorce

Read:

- The paper estimates logistic regressions in which past fund returns, alpha, flows, and fund characteristics predict marriage or divorce.

- Most return and alpha coefficients are statistically insignificant.
- The sign pattern is intuitive: good performance tends to precede marriage and poor performance tends to precede divorce, but the evidence is not statistically reliable.
- The main significant performance-related result is weak: alpha two years earlier has a modest effect on marriage probability.

Economic message. The evidence does not support a simple story in which past hedge fund performance determines marital-event timing and mechanically generates the performance results.

5.10 Table 10: Robustness tests

Read:

- The results are robust to alternative event windows: 12-month event windows, longer before/after windows, and one-month event windows.
- The results are robust when returns are derived from 13F holdings, which reduces concern about manager manipulation of reported hedge fund returns.
- The results survive augmenting the Fung–Hsieh model with option-based risk factors.
- The results survive adding liquidity and emerging-market risk factors.
- The results are robust to using imputed pre-fee returns.

Economic message. The underperformance around marital events is not an artifact of the event-window choice, return manipulation, missing risk factors, or fee treatment.

6 Short summary

- The paper asks whether limited attention directly hurts professional investment performance.
- It studies hedge fund managers around marriages and divorces.
- The main sample contains 98 marriages and 76 divorces with sufficient hedge fund return data around the event.
- Both marital events are associated with large declines in Fung–Hsieh alpha during the event window.
- The alpha decline persists after the event and survives fund-level controls.
- Matched control funds show that the results are not simply driven by general hedge fund performance trends.
- The effect is strongest for busy managers: those managing multiple funds or lacking a team.
- Mechanism tests show that managers become less active and more benchmark-like.
- Holdings data show that managers become more prone to the disposition effect.

Table 9

Regressions on the probability of marriage and divorce amongst hedge fund managers.

This table reports coefficient estimates from logistic regressions that analyze the determinants of marriage and divorce. Dependent variables are dummy variables which take a value of one if the fund manager marries or divorces in month t . Columns 1 and 2 present results for the marriage regressions while columns 3 and 4 present results for the divorce regressions. Explanatory variables include fund level performance, flows, and characteristics. $RETURN_{t-1,t-12}$, $ALPHA_{t-1,t-12}$, and $FLOW_{t-1,t-12}$ are average monthly performance and flows one year before the marriage/divorce event. $RETURN_{t-13,t-24}$, $ALPHA_{t-13,t-24}$, and $FLOW_{t-13,t-24}$ are average monthly performance and flows two years before the marriage/divorce month. ALPHA is Fung and Hsieh (2004) seven-factor alpha. The other independent variables include fund characteristics such as management fee (MGTFEE), performance fee (PERFFEE), high-water mark indicator (HWM), lock-up period in years (LOCKUP), redemption period in months (REDEMPTION), leverage indicator (LEVERAGE), and log of fund size (log(FUNDSIZE)). The t -statistics, derived from standard errors clustered by fund, are in parentheses. Marginal effects, that reveal the impact of a one standard deviation change in the independent variable on the probability of a marriage/divorce are in brackets. The sample period is from January 1994 to December 2012. * Significant at the 5% level; ** Significant at the 1% level.

Independent variables	Dependent variable			
	Marriage		Divorce	
	(1)	(2)	(3)	(4)
$RETURN_{t-1,t-12}$	0.915 (0.07) [0.02]		-5.770 (-0.73) [-0.09]	
$ALPHA_{t-1,t-12}$		13.021 (1.15) [0.18]		-5.043 (-0.41) [-0.08]
$FLOW_{t-1,t-12}$	-0.245 (-0.50) [-0.08]	-0.075 (-0.11) [-0.02]	-0.131 (-0.30) [-0.04]	0.205 (0.54) [0.05]
$RETURN_{t-13,t-24}$	2.376 (0.30) [0.04]		-5.668 (-0.60) [-0.09]	
$ALPHA_{t-13,t-24}$		13.982 (1.71) [0.19]		1.926 (0.15) [0.01]
$FLOW_{t-13,t-24}$	-0.131 (-0.44) [-0.04]	-0.412 (-0.73) [-0.13]	-0.908** (-2.63) [-0.26]	-1.251 (-1.88) [-0.34]
MGTFEE	0.506** (4.95)	0.740** (7.17)	-0.107 (-0.60)	-0.083 (-0.32)
PERFFEE	-0.045 (-1.09)	-0.066 (-1.37)	0.027 (0.47)	0.034 (0.35)
HWM	0.781 (1.46)	1.222 (1.57)	0.069 (0.12)	0.173 (0.23)
LOCKUP	0.031 (0.08)	0.322 (0.60)	-2.279 (-1.53)	-1.863 (-1.89)
LEVERAGE	-0.017 (-0.05)	-0.295 (-1.22)	-0.007 (-0.02)	-0.146 (-0.34)
REDEMPTION	0.009 (0.09)	-0.015 (-0.14)	0.069 (1.45)	0.072 (1.45)
log(FUNDSIZE)	-0.032 (-0.42)	-0.019 (-0.17)	-0.051 (-0.79)	-0.023 (-0.25)
R-squared	0.0155	0.0371	0.0149	0.0154
N	157,820	105,943	157,820	105,943

Table 10

Robustness tests.

This table reports multivariate regression analysis of fund performance. Dependent variables are raw monthly fund return and the Fung and Hsieh (2004) seven-factor monthly fund alpha. The independent variables include three indicator variables which represent different periods. Unless otherwise stated, the variable EVENT takes a value of one during the six-month period spanning three months before and three months after the marriage/divorce event. BEFORE (omitted) takes a value of one during the 21-month period before the event period. AFTER takes a value of one during the 21-month period after the event period. The other independent variables include fund characteristics such as management fee, performance fee, high-water mark indicator, lock-up period, redemption period, leverage indicator, fund age, and fund size. The t -statistics, derived from standard errors clustered by fund, are in parentheses. The sample period is from January 1994 to December 2012. * Significant at the 5% level; ** Significant at the 1% level.

Independent variables	Dependent variable			
	Marriage		Divorce	
	Return	Alpha	Return	Alpha
Panel A: Event period=12 months; Before period=1 year 6 months; After period=1 year 6 months				
EVENT	-0.574** (-3.58)	-0.490** (-3.35)	-0.323* (-2.42)	-0.295 (-1.95)
AFTER	-0.200 (-1.38)	-0.487** (-3.98)	-0.238 (-1.90)	-0.455** (-4.35)
Panel B: Event period=6 months; Before period=2 years 9 months; After period=2 years 9 months				
EVENT	-0.527** (-2.71)	-0.622** (-3.37)	-0.349 (-1.90)	-0.493* (-2.43)
AFTER	-0.509** (-4.13)	-0.477** (-3.87)	-0.166 (-1.41)	-0.285** (-3.20)
Panel C: Event period=1 month; Before period=1 year 11 months; After period=1 year 11 months				
EVENT	-0.722* (-2.32)	-0.568 (-1.91)	-0.331 (-1.12)	-0.320 (-0.97)
AFTER	-0.469** (-3.41)	-0.393** (-3.21)	-0.524** (-4.08)	-0.534** (-5.25)
Panel D: Fund returns derived from 13F quarterly stock holdings				
EVENT	-0.125** (-6.61)	-0.045** (-2.64)	0.002 (0.12)	-0.242** (-3.29)
AFTER	-0.082** (-4.68)	-0.050** (-3.95)	0.004 (0.32)	0.074 (1.38)
Panel E: FH 7-factor model augmented with the Agarwal and Naik (2004) OTM option-based factors				
EVENT	-0.453* (-2.11)	-0.714* (-2.43)	-0.072 (-0.37)	-0.957** (-3.46)
AFTER	-0.218 (-1.43)	-0.776* (-4.10)	0.076 (0.54)	-0.537** (-2.86)
Panel F: FH 7-factor model augmented with the Pastor and Stambaugh (2003) liquidity factor and the MSCI emerging markets factor				
EVENT	-0.453* (-2.11)	-0.664* (-2.37)	-0.072 (-0.37)	-0.747** (-3.48)
AFTER	-0.218 (-1.43)	-0.747** (-4.06)	0.076 (0.54)	-0.301* (-2.12)
Panel G: Pre-fee returns				
EVENT	-0.415 (-1.92)	-0.553** (-2.91)	-0.051 (-0.26)	-0.598** (-4.02)
AFTER	-0.248 (-1.62)	-0.278* (-2.22)	0.134 (0.94)	-0.222* (-2.19)

- The paper's central message is that attention is a scarce managerial input, even for professional asset managers.

7 Conclusion

7.1 Core conclusion

Lu, Ray, and Teo provide direct evidence that limited attention can impair professional investment performance. Hedge fund managers underperform around marriages and divorces, and the underperformance is economically large relative to typical hedge fund alpha estimates.

7.2 Economic intuition

The result is intuitive because active management requires continuous attention. When a manager is distracted by a major personal event, she may monitor positions less carefully, trade less actively, rely more on broad factors or indexes, and exercise weaker selling discipline. These behavior changes translate into lower alpha.

7.3 Takeaway

The paper moves limited-attention research from prices and retail-investor behavior to the productivity of sophisticated professionals. It also supports the view that hedge fund alpha partly reflects skill: if performance were mostly luck, personal distraction should not predictably reduce alpha.